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CASE #	CASE NAME	HEARING NAME
CVME2511855	GORRELL VS STEEM MONSTERS CORPORATION	MOTION TO QUASH SERVICE OF SUMMONS

Tentative Ruling: Motion to Quash Service of Summons is granted. Defendants move to quash service of the summons, arguing that there is no personal jurisdiction. Alternatively, they assert that California is an inconvenient forum. In support, they submit declarations stating that Steem Monsters is a Delaware corporation with its principal place of business in Pennsylvania. They assert that Steem Monsters has no operations, offices, or assets in California. Rosen (the President) states that he resides in Pennsylvania and executed the contractor agreement there. McCoy (the current CEO & prior COO) states that he resides and works in North Carolina, joined Steem Monsters as COO on 3/3/25, and did not sign the agreement. Defendants argue that they have not purposefully availed themselves of the benefits of the forum and that there is no evidence supporting sufficient minimum contacts. They also argue that the Pennsylvania forum clause in section 10.5 of the agreement controls and that Pennsylvania is the most efficient forum.

In opposition, Plaintiffs argue that Defendants deliberately formed and maintained a long-term business relationship with a California resident and a California corporation. They argue that Defendants directed communications and business activities toward California. They assert that Defendants used a California-headquartered payment platform and caused injuries suffered in California. Plaintiffs contend that jurisdiction exists where claims “relate to” a defendant’s forum contacts, and that corporate officers who authorize or direct wrongful conduct toward California may be subject to jurisdiction. They also argue that the choice-of-law clause is not an exclusive forum-selection clause. Alternatively, Plaintiffs request limited jurisdictional discovery.

In reply, Defendants argue that Plaintiffs submitted no competent evidence with their opposition. Defendants also object to discovery because Plaintiffs identify no specific facts and conducted no discovery for the past 8 months. Defendants otherwise repeat their arguments in the moving papers.

Analysis - A defendant may file a motion to quash service of summons on the following grounds: (1) lack of jurisdiction; (2) inconvenient forum; or (3) dismissal pursuant to a delay in prosecution. (Code Civ. Proc., § 418.10(a).) When a nonresident defendant challenges personal jurisdiction, the burden shifts to the plaintiff to prove, by a preponderance of the evidence, that the defendant has sufficient “minimum contacts” with the forum state to justify jurisdiction. (*Jewish Defense Organization v. Superior Court* (1999) 72 Cal.App.4th 1045, 1054-55.) This burden must be met by competent evidence in affidavits and authenticated documentary evidence. (*Id.* at 1055.) Allegations from an unverified complaint are insufficient. (*Ziller Elecs. Lab GmbH v. Superior Court* (1988) 206 Cal.App.3d 1222, 1233.)

Here, Plaintiffs rely on specific jurisdiction. Specific jurisdiction results when the defendant’s contacts with the forum state, though not enough to subject the defendant to the general jurisdiction of the forum, are sufficient to subject the defendant to suit in

the forum on a cause of action related to or arising out of those contacts. (*Aquila, Inc. v. Superior Court* (2007) 148 Cal.App.4th 556, 569-570.) Specific jurisdiction exists if: (1) the defendant has purposefully availed itself of forum benefits with respect to the matter in controversy; (2) the controversy is related to or arises out of the defendant's contacts with the forum; and (3) the assertion of jurisdiction would comport with fair play and substantial justice. (*Id.* at 570.) Courts must additionally evaluate the burden on the defendant of appearing in the forum, the forum state's interest in adjudicating the claim, the plaintiff's interest in convenient and effective relief within the forum, judicial economy, and the shared interest of the several states in furthering fundamental substantive social policies. (*Id.*)

In the present case, the record reflects *some* California connections. The Milestone Contractor Agreement identifies JPTR as a California S corporation with a Lake Elsinore address. (FAC, Ex. A.) It also appoints a San Francisco-based company as JPTR's limited payment agent. (*Ibid.*) Gorrell signed the agreement for JPTR (*id.*), and Defendant Rosen signed on behalf of Steem Monsters. (Rosen Decl., ¶ 21.)

These, however, are not sufficient to show Defendants' purposeful availment. The record contains no evidence as to who initiated the relationship or where negotiations occurred. It does not reflect that Steem Monsters requested or required performance in California. It is also unclear whether Steem Monsters supervised activities in California, or that Steem Monsters invoked California law for its own benefit.

Instead, the contractor agreement states that JPTR will, in its "sole discretion," determine "the manner and means ... location ... and the time, place and order" of performance. (FAC, Ex. A, ¶¶ 1.2, 1.3.) It also states that JPTR "agrees that [it] meets all tests set forth by applicable law with respect to his/her independent contractor status, including but not limited to the "ABC" test under California Labor Code Sections 2750.3 and 3351, as well as under the California Unemployment Insurance Code Sections..."

As to the limited payment agent's location of business in California (*Id.*, ¶ 2.4), it does not prove that Steem Monsters directed activity at California.

As to the prior employment relationship, it might be dispositive if evidence reflects that Gorrell lived and worked in California, Steem Monsters knowingly hired him there, and/or that the claims arose mainly from that California employment. However, Plaintiffs supplied no such evidence. The statements in the unverified FAC are not evidence. Nor have Plaintiffs shown Defendants' sufficient purposeful contacts with this state. Communications and services contracts with California residents did not suffice where defendant's conduct occurred elsewhere. (*Goehring v. Superior Court (Bernier)* (1998) 62 Cal.App.4th 894 at 907-911, ["the sales agreement, security agreement, and promissory notes/escrow agreement... are insufficient to establish jurisdiction because they do not establish petitioners purposefully availed themselves of forum benefits."]) Purposeful availment requires that the defendant "have performed some type of affirmative conduct which allows or promotes the transaction of business within the forum state." (*Id.*, at 907.) "A contract with an out-of-state party does not automatically establish purposeful availment in the other party's home forum." (*Ibid.*) "Rather, a court must evaluate the contract terms and the surrounding circumstances to determine whether the defendant purposefully established minimum contacts within the forum."

(*Ibid.*) Relevant factors include “prior negotiations, contemplated future consequences, the parties’ course of dealings, and the contract’s choice-of-law provision.” (*Ibid.*) Here, Plaintiffs submit no evidence to show where the prior negotiations occurred or reflect on the parties’ court of dealings. The contractor agreement itself also chooses Pennsylvania law and Pennsylvania courts. (*Id.*, ¶ 10.5.)

As such, the Court finds that Plaintiffs did not meet their burden as to Steem Monsters.

As to each individual Defendant (Rosen and McCoy), “[p]ersonal jurisdiction must be based on forum-related acts that were *personally* committed by *each* nonresident defendant.” (*In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 113; emphasis added.) For Rosen, his declaration shows that he lives in and works in Pennsylvania and signed the contractor agreement there in Pennsylvania. (Rosen Decl., ¶¶ 3, 13, 21.) Plaintiffs’ opposition provides no evidence that Rosen *personally* solicited business with California residents, or that he committed a tort at California. The FAC has some allegations, including an alleged 4/30/25 statement involving Rosen and McCoy, that they would “cut JPTR completely.” (FAC ¶ 37). But again, the unverified pleading is not evidence.

Similarly for McCoy, he declares that he lives in and works in North Carolina, and was not involved in Gorrell’s employment or signing the agreement. (McCoy Decl., ¶¶ 3-11.) Plaintiffs supplied no evidence to the contrary.

In short, Plaintiffs did not meet their burden as to either individual. On the present record, the evidence is insufficient to show minimum contacts.

Plaintiffs, alternatively, seek continuance for limited jurisdictional discovery. However, to prevail, “the plaintiff should demonstrate that discovery is likely to lead to the production of evidence of facts establishing jurisdiction.” Plaintiffs did not do so.

2.

CASE #	CASE NAME	HEARING NAME
CVME2511855	GORRELL VS STEEM MONSTERS CORPORATION	DEMURRER ON 1 ST AMENDED COMPLANT

Tentative Ruling: Demurrer is taken off calendar without prejudice.

Defendants concurrently demur to all 11 causes of action in the FAC for failure to state facts sufficient and on uncertain grounds. However, granting the motion to quash would leave the court with no jurisdiction to rule on Defendants’ demurrer.